

Costco Wholesale Corporation (COST.US)

Consumer Defensive · Discount Stores

Large Cap (>\$200B) · Report Date: June 12, 2026

Latest financials: Q3 FY2025 · Model data as of 2026-06-12

OVERWEIGHT

Blended Target: \$1082.33

DCF + Comps + Analyst (see cross-check table)

Implied upside: +11.0%

Price (Jun): \$975.20

INVESTMENT HIGHLIGHTS

- **OVERWEIGHT** — blended target \$1082.33 (+11.0% vs \$975.20); analyst-led valuation after outlier checks.
- Modest revenue growth; compressed margins; strong roe; positive fcf generation
- Simon FCFE DCF not used in target (low FCFE yield / growth equity); rely on comps and analyst consensus where shown.

INVESTMENT THESIS / EXECUTIVE SUMMARY

Costco Wholesale Corporation (COST) — Consumer Defensive. Costco Wholesale Corporation, together with its subsidiaries, engages in the operation of membership warehouses in the United States, Puerto Rico, Canada,... **OVERWEIGHT** rating; blended target \$1082.33. See Investment Highlights above and valuation cross-check on page 2.

KEY DATA & MARKET HIGHLIGHTS

Item	Value	Item	Value
Market Cap	\$432.48B	Shares Out.	443.5M
52-Week Range	\$844.06 – \$1096.50	P/E (TTM)	49.0x
P/B	26.2x	Beta	0.87
Avg Volume	1.99M	Analyst Rec.	Buy
Revenue (TTM)	\$275.24B	Rev Growth	+8.2%
Op. Margin	3.7%	FCF (TTM)	\$7.84B



FINANCIAL & VALUATION SUMMARY

(USD millions except per-share; E = forecast)

Metric	FY 2024A	FY 2025A	FY 2026E	FY 2027E	FY 2028E
Revenue (\$M)	254,453	275,235	297,714	316,968	333,694
Revenue Growth (%)	N/A	8.2%	8.2%	6.5%	5.3%
Net Income (\$M)	7,367	8,099	8,760	9,327	9,819
Net Income Growth (%)	N/A	9.9%	8.2%	6.5%	5.3%
Gross Margin (%)	12.6%	12.8%	12.9%	12.9%	12.9%
Net Margin (%)	2.9%	2.9%	2.9%	2.9%	2.9%
ROE (%)	31.2%	27.8%	30.0%	29.0%	29.1%
EPS (\$)	16.61	18.26	19.75	21.03	22.14
Book Value / Share (\$)	53.27	65.76	65.76	72.50	76.13
P/E (x)	58.71	53.40	49.37	46.37	44.04
P/B (x)	18.31	14.83	14.83	13.45	12.81
Dividend Yield (%)	60.0%	60.0%	60.0%	60.0%	60.0%

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VALUATION CROSS-CHECK

Valuation Method	Implied Price	vs. Current	Weight in Target	Notes
DCF (Simon FCFE)	\$565.86	-42.0%	0% (excluded)	DCF diverges >55% below comparable-implied value
Comps — P/E (peer median)	\$624.93	-35.9%	—	Peer median P/E 31.4x
Comps — EV/EBITDA (peer median)	\$836.54	-14.2%	—	Peer median 27.2x
Comps — P/S (peer median)	\$6498.56	+566.4%	—	Peer median P/S 10.5x
Comps — Blended (avg. of available multiples)	\$2653.34	+172.1%	0% (excluded)	Diverges above other methods (245% of median)
Analyst consensus (Yahoo Finance)	\$1082.33	+11.0%	100%	Included in blend
Blended target (weighted)	\$1082.33	+11.0%	100%	Analyst 100%

DCF VALUATION SUMMARY (SIMON FCFE)

Item	Value
Ke (cost of equity)	8.77%
Terminal g	4.00%
FCFE growth	12.00%
Base FCFE	\$7.84B
PV explicit (5Y)	\$42.81B
PV terminal	\$197.59B
Equity value (adj.)	\$250.95B
Implied price	\$565.86
vs. current	-42.0%

INDUSTRY ANALYSIS

1. Industry Overview

Costco Wholesale Corporation, together with its subsidiaries, engages in the operation of membership warehouses in the United States, Puerto Rico, Canada, Mexico, Japan, the United Kingdom, Korea, Australia, Taiwan, China, Spain, France, Iceland, New Zealand, and Sweden. It offers merchandise, including sundries, dry groceries, candies, coolers, freezers, deli, liquor, and tobacco; non-food...

2. Key Trends

- Moderate revenue expansion (8.2% YoY)
- Sector: Consumer Defensive | Industry: Discount Stores

3. Risk Factors

- Premium valuation (P/E: 49.0x)

COMPETITOR ANALYSIS

Ticker	Company	Market Cap	P/E	EV/EBITDA	Net Margin	Rev Growth
NVDA	NVIDIA Corporation	\$4.97T	31.4x	29.7x	63.0%	+85.2%
GOOGL	Alphabet Inc.	\$4.42T	27.7x	26.7x	37.9%	+21.8%
AAPL	Apple Inc.	\$4.29T	35.4x	27.2x	27.2%	+16.6%
MSFT	Microsoft Corporation	\$2.89T	23.1x	16.0x	39.3%	+18.3%
COST*	Costco Wholesale Corpo	\$432.48B	49.0x	31.3x	3.0%	+8.2%

* Subject company. Commands premium p/e vs peers; below-peer profitability. Modest revenue growth; compressed margins; strong roe; positive fcf generation. Source: Yahoo Finance. Not investment advice.